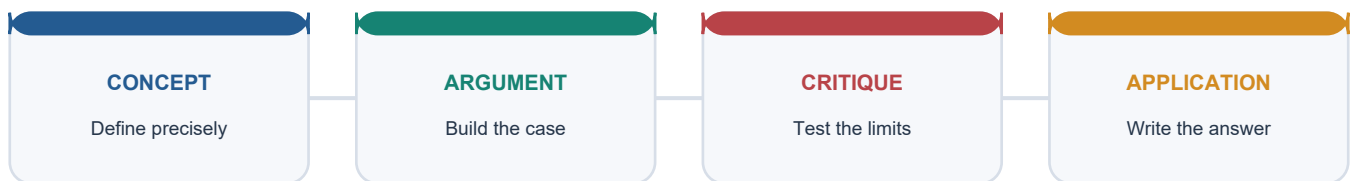


SOLVED PRACTICE WORKBOOK

Cooperative Societies - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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Cooperative Societies - Solved Practice Workbook

Subject: Polity | **GS Paper:** GS-II | **Control date:** 8 September 2026

Practice discipline: exactly 32 original MCQs before PYQs; answer order ABCD repeated eight times; 128 substantive unique option-specific explanations; 32 unique question-specific traps; three verified adjacent Prelims PYQs with official-final-key discipline; exactly six original Mains models.

Exactly **32 original MCQs** appear before the PYQ section. Correct-option sequence:

ABCDABCDABCDABCDABCDABCDABCDABCD. Questions 25-32 are targeted remediation within the same original set.

BASIC MCQS / REMEDIATION

MCQ 1. Cooperative identity

Which description best captures a cooperative?

A. A jointly owned, democratically controlled enterprise voluntarily formed to meet common member needs
B. A charitable trust that is legally barred from economic activity
C. A company in which voting power must always equal capital contribution
D. A government department that distributes benefits to registered persons

Answer: A.

Option-specific explanations:

- **A:** Correct. The cooperative form combines voluntary association, joint ownership, democratic control and a common member need; it may conduct substantial economic activity.
- **B:** Incorrect. The proposition 'A charitable trust that is legally barred from economic activity' changes the controlling category, condition or legal source. The cooperative form combines voluntary association, joint ownership, democratic control and a common member need; it may conduct substantial economic activity.
- **C:** Incorrect. The proposition 'A company in which voting power must always equal capital contribution' changes the controlling category, condition or legal source. The cooperative form combines voluntary association, joint ownership, democratic control and a common member need; it may conduct substantial economic activity.
- **D:** Incorrect. The proposition 'A government department that distributes benefits to registered persons' changes the controlling category, condition or legal source. The cooperative form combines voluntary association, joint ownership, democratic control and a common member need; it may conduct substantial economic activity.

Examiner trap 1: Do not confuse member ownership with either State ownership or investor-capital dominance.

MCQ 2. Legal force of principles

The seven ICA cooperative principles are best understood in Indian law as:

A. RBI directions binding on every cooperative society
B. Normative principles whose enforceability depends on incorporation in the applicable law or bye-laws
C. Rules confined to dairy cooperatives
D. Directly enforceable constitutional commands against every cooperative

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'RBI directions binding on every cooperative society' changes the controlling category, condition or legal source. ICA principles are normative; the MSCS Act First Schedule gives them statutory relevance in its field, while State-law force depends on the governing enactment and bye-laws.
- **B:** Correct. ICA principles are normative; the MSCS Act First Schedule gives them statutory relevance in its field, while State-law force depends on the governing enactment and bye-laws.
- **C:** Incorrect. The proposition 'Rules confined to dairy cooperatives' changes the controlling category, condition or legal source. ICA principles are normative; the MSCS Act First Schedule gives them statutory relevance in its field, while State-law force depends on the governing enactment and bye-laws.
- **D:** Incorrect. The proposition 'Directly enforceable constitutional commands against every cooperative' changes the controlling category, condition or legal source. ICA principles are normative; the MSCS Act First Schedule

gives them statutory relevance in its field, while State-law force depends on the governing enactment and bye-laws.

Examiner trap 2: Always identify whether a principle is normative, constitutional-policy or statutory.

MCQ 3. State legislative field

Incorporation, regulation and winding up of a cooperative whose objects are confined to one State ordinarily fall under:

A. Union List Entry 45 B. Union List Entry 44 C. State List Entry 32 D. Concurrent List Entry 20

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Union List Entry 45' changes the controlling category, condition or legal source. State List Entry 32 expressly includes cooperative societies within the State field, subject to corporations assigned to List I.
- **B:** Incorrect. The proposition 'Union List Entry 44' changes the controlling category, condition or legal source. State List Entry 32 expressly includes cooperative societies within the State field, subject to corporations assigned to List I.
- **C:** Correct. State List Entry 32 expressly includes cooperative societies within the State field, subject to corporations assigned to List I.
- **D:** Incorrect. The proposition 'Concurrent List Entry 20' changes the controlling category, condition or legal source. State List Entry 32 expressly includes cooperative societies within the State field, subject to corporations assigned to List I.

Examiner trap 3: Entry 32 is the starting point for an intra-State society, not a residual entry.

MCQ 4. Multi-State field

The legislative basis for a cooperative corporation whose objects are not confined to one State is:

A. State List Entry 32 B. Union List Entry 43 C. Concurrent List Entry 20 D. Union List Entry 44

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'State List Entry 32' changes the controlling category, condition or legal source. Union List Entry 44 covers incorporation, regulation and winding up of corporations, trading or not, whose objects are not confined to one State.
- **B:** Incorrect. The proposition 'Union List Entry 43' changes the controlling category, condition or legal source. Union List Entry 44 covers incorporation, regulation and winding up of corporations, trading or not, whose objects are not confined to one State.
- **C:** Incorrect. The proposition 'Concurrent List Entry 20' changes the controlling category, condition or legal source. Union List Entry 44 covers incorporation, regulation and winding up of corporations, trading or not, whose objects are not confined to one State.
- **D:** Correct. Union List Entry 44 covers incorporation, regulation and winding up of corporations, trading or not, whose objects are not confined to one State.

Examiner trap 4: Do not use Entry 43: it expressly excludes cooperative societies.

MCQ 5. Pre-2011 position

Which statement correctly describes the position before the 97th Amendment?

- A. Cooperatives already existed as statutory bodies under Union or State legislation within the federal competence split B. No cooperative could be incorporated before Article 43B C. Part IXB was the sole source of all cooperative legal personality D. Only Parliament could legislate for every cooperative

Answer: A.

Option-specific explanations:

- **A:** Correct. The 1904 and 1912 laws and later State/MSCS statutes pre-dated constitutionalisation; the 97th Amendment added constitutional rights, policy and governance provisions rather than creating the form.
- **B:** Incorrect. The proposition 'No cooperative could be incorporated before Article 43B' changes the controlling category, condition or legal source. The 1904 and 1912 laws and later State/MSCS statutes pre-dated constitutionalisation; the 97th Amendment added constitutional rights, policy and governance provisions rather than creating the form.
- **C:** Incorrect. The proposition 'Part IXB was the sole source of all cooperative legal personality' changes the controlling category, condition or legal source. The 1904 and 1912 laws and later State/MSCS statutes pre-dated constitutionalisation; the 97th Amendment added constitutional rights, policy and governance provisions rather than creating the form.
- **D:** Incorrect. The proposition 'Only Parliament could legislate for every cooperative' changes the controlling category, condition or legal source. The 1904 and 1912 laws and later State/MSCS statutes pre-dated constitutionalisation; the 97th Amendment added constitutional rights, policy and governance provisions rather than creating the form.

Examiner trap 5: Constitutional recognition in 2012 did not erase the older statutory foundation.

MCQ 6. Article 43B

Article 43B directs the State to promote:

- A. Compulsory State ownership of cooperative assets B. Voluntary formation, autonomous functioning, democratic control and professional management C. Uniform central registration of all cooperatives D. RBI licensing of every PACS

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Compulsory State ownership of cooperative assets' changes the controlling category, condition or legal source. Article 43B is a Directive Principle containing four express goals: voluntary formation, autonomous functioning, democratic control and professional management.
- **B:** Correct. Article 43B is a Directive Principle containing four express goals: voluntary formation, autonomous functioning, democratic control and professional management.
- **C:** Incorrect. The proposition 'Uniform central registration of all cooperatives' changes the controlling category, condition or legal source. Article 43B is a Directive Principle containing four express goals: voluntary formation, autonomous functioning, democratic control and professional management.
- **D:** Incorrect. The proposition 'RBI licensing of every PACS' changes the controlling category, condition or legal source. Article 43B is a Directive Principle containing four express goals: voluntary formation, autonomous functioning, democratic control and professional management.

Examiner trap 6: Article 43B is a DPSP, not a licensing clause or Fundamental Right.

MCQ 7. Three amendment changes

Which set accurately states the 97th Amendment's three constitutional changes?

- A. Article 19(1)(g), Article 43A and Part IX B. Article 14, Article 39A and Part IXA C. Article 19(1)(c), Article 43B and Part IXB D. Article 21, Article 48A and Part X

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Article 19(1)(g), Article 43A and Part IX' changes the controlling category, condition or legal source. The Amendment added cooperative societies to Article 19(1)(c), inserted Article 43B and inserted Part IXB containing Articles 243ZH-243ZT.
- **B:** Incorrect. The proposition 'Article 14, Article 39A and Part IXA' changes the controlling category, condition or legal source. The Amendment added cooperative societies to Article 19(1)(c), inserted Article 43B and inserted Part IXB containing Articles 243ZH-243ZT.
- **C:** Correct. The Amendment added cooperative societies to Article 19(1)(c), inserted Article 43B and inserted Part IXB containing Articles 243ZH-243ZT.
- **D:** Incorrect. The proposition 'Article 21, Article 48A and Part X' changes the controlling category, condition or legal source. The Amendment added cooperative societies to Article 19(1)(c), inserted Article 43B and inserted Part IXB containing Articles 243ZH-243ZT.

Examiner trap 7: Part IXA concerns municipalities; Part IXB concerns cooperative societies.

MCQ 8. Commencement

The Constitution (Ninety-seventh Amendment) Act, 2011 came into force on:

- A. 27 December 2011 B. 12 January 2012 C. 13 January 2012 D. 15 February 2012

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition '27 December 2011' changes the controlling category, condition or legal source. The Act received assent and publication in January 2012 but its notified commencement date was 15 February 2012.
- **B:** Incorrect. The proposition '12 January 2012' changes the controlling category, condition or legal source. The Act received assent and publication in January 2012 but its notified commencement date was 15 February 2012.
- **C:** Incorrect. The proposition '13 January 2012' changes the controlling category, condition or legal source. The Act received assent and publication in January 2012 but its notified commencement date was 15 February 2012.
- **D:** Correct. The Act received assent and publication in January 2012 but its notified commencement date was 15 February 2012.

Examiner trap 8: Do not use the Act's title-year as its commencement date.

MCQ 9. Ratification defect

Why did Part IXB fail in its application to State cooperative societies?

- A. It substantially affected the State legislative field without ratification by at least half the States under Article 368(2) B. The President withheld assent C. Parliament used only a simple majority D. Article 43B violated the basic structure

Answer: A.

Option-specific explanations:

- **A:** Correct. Rajendra N. Shah held that Part IXB constrained Entry 32 and therefore required the State ratification prescribed by the proviso to Article 368(2), which had not been obtained.
- **B:** Incorrect. The proposition 'The President withheld assent' changes the controlling category, condition or legal source. Rajendra N. Shah held that Part IXB constrained Entry 32 and therefore required the State ratification prescribed by the proviso to Article 368(2), which had not been obtained.
- **C:** Incorrect. The proposition 'Parliament used only a simple majority' changes the controlling category, condition or legal source. Rajendra N. Shah held that Part IXB constrained Entry 32 and therefore required the State

ratification prescribed by the proviso to Article 368(2), which had not been obtained.

- **D:** Incorrect. The proposition 'Article 43B violated the basic structure' changes the controlling category, condition or legal source. Rajendra N. Shah held that Part IXB constrained Entry 32 and therefore required the State ratification prescribed by the proviso to Article 368(2), which had not been obtained.

Examiner trap 9: The defect was federal ratification, not presidential assent or the validity of Article 43B.

MCQ 10. Surviving changes

After Union of India v. Rajendra N. Shah (2021), which pair clearly survived?

A. Articles 243ZI and 243ZK as direct commands for all State societies B. Article 19(1)(c) and Article 43B C. Article 243ZT as permanent validation of every old State law D. A uniform Central Registrar system for all cooperatives

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Articles 243ZI and 243ZK as direct commands for all State societies' changes the controlling category, condition or legal source. The Supreme Court did not invalidate the Article 19(1)(c) addition or Article 43B; it dealt with Part IXB's unratified reach into the State field.
- **B:** Correct. The Supreme Court did not invalidate the Article 19(1)(c) addition or Article 43B; it dealt with Part IXB's unratified reach into the State field.
- **C:** Incorrect. The proposition 'Article 243ZT as permanent validation of every old State law' changes the controlling category, condition or legal source. The Supreme Court did not invalidate the Article 19(1)(c) addition or Article 43B; it dealt with Part IXB's unratified reach into the State field.
- **D:** Incorrect. The proposition 'A uniform Central Registrar system for all cooperatives' changes the controlling category, condition or legal source. The Supreme Court did not invalidate the Article 19(1)(c) addition or Article 43B; it dealt with Part IXB's unratified reach into the State field.

Examiner trap 10: Never state that the whole 97th Amendment was struck down.

MCQ 11. Severability

What is the correct majority position on Part IXB after Rajendra N. Shah?

A. It was deleted from the Constitution in full B. It binds every cooperative confined to a Union Territory C. It survives for multi-State cooperative societies through severability, while its State-field application is invalid D. It survives only as a non-justiciable Directive Principle

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'It was deleted from the Constitution in full' changes the controlling category, condition or legal source. The majority used Article 243ZR to sever and preserve the multi-State scheme; the State-field application failed for want of ratification.
- **B:** Incorrect. The proposition 'It binds every cooperative confined to a Union Territory' changes the controlling category, condition or legal source. The majority used Article 243ZR to sever and preserve the multi-State scheme; the State-field application failed for want of ratification.
- **C:** Correct. The majority used Article 243ZR to sever and preserve the multi-State scheme; the State-field application failed for want of ratification.
- **D:** Incorrect. The proposition 'It survives only as a non-justiciable Directive Principle' changes the controlling category, condition or legal source. The majority used Article 243ZR to sever and preserve the multi-State scheme; the State-field application failed for want of ratification.

Examiner trap 11: Use 'multi-State field survives' rather than 'the entire Part remains universally applicable'.

MCQ 12. Formation freedom

The right added to Article 19(1)(c) is best described as:

- A. An unconditional right to subsidy and State purchase B. A guarantee that every application must be registered C. Immunity from audit and solvency law D. A citizens' freedom to form cooperative societies, subject to Article 19(4) and valid regulation

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'An unconditional right to subsidy and State purchase' changes the controlling category, condition or legal source. Article 19(1)(c) protects formation, while Article 19(4) supplies restriction grounds; recognition, aid and regulatory immunity require separate legal authority.
- **B:** Incorrect. The proposition 'A guarantee that every application must be registered' changes the controlling category, condition or legal source. Article 19(1)(c) protects formation, while Article 19(4) supplies restriction grounds; recognition, aid and regulatory immunity require separate legal authority.
- **C:** Incorrect. The proposition 'Immunity from audit and solvency law' changes the controlling category, condition or legal source. Article 19(1)(c) protects formation, while Article 19(4) supplies restriction grounds; recognition, aid and regulatory immunity require separate legal authority.
- **D:** Correct. Article 19(1)(c) protects formation, while Article 19(4) supplies restriction grounds; recognition, aid and regulatory immunity require separate legal authority.

Examiner trap 12: Right to form is not a right to State patronage or a chosen governance regime.

MCQ 13. Article 243ZH

Which item is expressly defined in Article 243ZH?

- A. Board, cooperative society, multi-State cooperative society, office bearer, Registrar, State Act and State-level cooperative society B. Only the expression cooperative bank C. Election Commission of India as cooperative election authority D. National Cooperative Policy

Answer: A.

Option-specific explanations:

- **A:** Correct. Article 243ZH contains the Part's institutional definitions, including board, society, multi-State society, office bearer, Registrar, State Act and State-level society.
- **B:** Incorrect. The proposition 'Only the expression cooperative bank' changes the controlling category, condition or legal source. Article 243ZH contains the Part's institutional definitions, including board, society, multi-State society, office bearer, Registrar, State Act and State-level society.
- **C:** Incorrect. The proposition 'Election Commission of India as cooperative election authority' changes the controlling category, condition or legal source. Article 243ZH contains the Part's institutional definitions, including board, society, multi-State society, office bearer, Registrar, State Act and State-level society.
- **D:** Incorrect. The proposition 'National Cooperative Policy' changes the controlling category, condition or legal source. Article 243ZH contains the Part's institutional definitions, including board, society, multi-State society, office bearer, Registrar, State Act and State-level society.

Examiner trap 13: Do not import later statutory institutions into Article 243ZH.

MCQ 14. Article 243ZI

Article 243ZI authorises law on incorporation, regulation and winding up based on:

A. Compulsory government financing B. Voluntary formation, democratic member control, member economic participation and autonomous functioning C. Shareholder voting proportional only to capital D. Exclusive RBI administration

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Compulsory government financing' changes the controlling category, condition or legal source. Article 243ZI states four design principles for incorporation, regulation and winding up within Part IXB's valid field.
- **B:** Correct. Article 243ZI states four design principles for incorporation, regulation and winding up within Part IXB's valid field.
- **C:** Incorrect. The proposition 'Shareholder voting proportional only to capital' changes the controlling category, condition or legal source. Article 243ZI states four design principles for incorporation, regulation and winding up within Part IXB's valid field.
- **D:** Incorrect. The proposition 'Exclusive RBI administration' changes the controlling category, condition or legal source. Article 243ZI states four design principles for incorporation, regulation and winding up within Part IXB's valid field.

Examiner trap 14: Article 243ZI is not a self-executing registration form and does not name professional management.

MCQ 15. Article 243ZJ board

Which statement correctly describes Article 243ZJ?

A. It requires exactly twenty-one elected directors in every society B. It gives every co-opted expert a right to become an office bearer C. It sets a ceiling of twenty-one directors, a five-year term and qualified reservation/co-option rules D. It fixes a three-year term and bars functional directors

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'It requires exactly twenty-one elected directors in every society' changes the controlling category, condition or legal source. Article 243ZJ uses a maximum of twenty-one, a five-year elected term, qualified SC/ST and women reservation, up to two expert co-options and separate treatment of functional directors.
- **B:** Incorrect. The proposition 'It gives every co-opted expert a right to become an office bearer' changes the controlling category, condition or legal source. Article 243ZJ uses a maximum of twenty-one, a five-year elected term, qualified SC/ST and women reservation, up to two expert co-options and separate treatment of functional directors.
- **C:** Correct. Article 243ZJ uses a maximum of twenty-one, a five-year elected term, qualified SC/ST and women reservation, up to two expert co-options and separate treatment of functional directors.
- **D:** Incorrect. The proposition 'It fixes a three-year term and bars functional directors' changes the controlling category, condition or legal source. Article 243ZJ uses a maximum of twenty-one, a five-year elected term, qualified SC/ST and women reservation, up to two expert co-options and separate treatment of functional directors.

Examiner trap 15: Ceiling, qualification and exclusion rules matter more than the shorthand '21 members'.

MCQ 16. Casual vacancy

Under Article 243ZJ(2), the board may fill a casual vacancy by nomination from the same class when:

- A. The board has completed more than half its original term B. The Registrar prefers nomination to election C. The vacancy concerns only a government nominee D. The remaining board term is less than half of its original term

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'The board has completed more than half its original term' changes the controlling category, condition or legal source. The proviso permits nomination from the same class only where the remaining term of the board is less than half of its original term.
- **B:** Incorrect. The proposition 'The Registrar prefers nomination to election' changes the controlling category, condition or legal source. The proviso permits nomination from the same class only where the remaining term of the board is less than half of its original term.
- **C:** Incorrect. The proposition 'The vacancy concerns only a government nominee' changes the controlling category, condition or legal source. The proviso permits nomination from the same class only where the remaining term of the board is less than half of its original term.
- **D:** Correct. The proviso permits nomination from the same class only where the remaining term of the board is less than half of its original term.

Examiner trap 16: Do not turn a limited casual-vacancy proviso into a general nomination power.

MCQ 17. Election continuity

Article 243ZK requires board elections to be conducted:

- A. Before expiry so the new board assumes office immediately after the outgoing term B. Within six months after every board expires C. By the Election Commission of India D. Only when the Registrar receives a member petition

Answer: A.

Option-specific explanations:

- **A:** Correct. Article 243ZK seeks uninterrupted elected management by requiring pre-expiry election under the authority or body provided by law.
- **B:** Incorrect. The proposition 'Within six months after every board expires' changes the controlling category, condition or legal source. Article 243ZK seeks uninterrupted elected management by requiring pre-expiry election under the authority or body provided by law.
- **C:** Incorrect. The proposition 'By the Election Commission of India' changes the controlling category, condition or legal source. Article 243ZK seeks uninterrupted elected management by requiring pre-expiry election under the authority or body provided by law.
- **D:** Incorrect. The proposition 'Only when the Registrar receives a member petition' changes the controlling category, condition or legal source. Article 243ZK seeks uninterrupted elected management by requiring pre-expiry election under the authority or body provided by law.

Examiner trap 17: The Constitution does not assign cooperative elections to the ECI.

MCQ 18. Supersession protection

Under the text of Article 243ZL, a board shall not be superseded or suspended where:

- A. It has any overdue return B. There is no government shareholding, loan, financial assistance or guarantee C. It is a society of individual members D. The audit contains a qualification

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'It has any overdue return' changes the controlling category, condition or legal source. The second proviso protects a society without the listed governmental financial links from supersession under the Part IXB mechanism.

- **B:** Correct. The second proviso protects a society without the listed governmental financial links from supersession under the Part IXB mechanism.
- **C:** Incorrect. The proposition 'It is a society of individual members' changes the controlling category, condition or legal source. The second proviso protects a society without the listed governmental financial links from supersession under the Part IXB mechanism.
- **D:** Incorrect. The proposition 'The audit contains a qualification' changes the controlling category, condition or legal source. The second proviso protects a society without the listed governmental financial links from supersession under the Part IXB mechanism.

Examiner trap 18: Apply this as Part IXB text within its surviving field; do not generalise it as direct State-field law after 2021.

MCQ 19. Banking supersession proviso

Which statement best handles Article 243ZL's banking provisos after Rajendra N. Shah?

- A. Every cooperative bank always has a one-year constitutional supersession ceiling
 B. Banking law is irrelevant to cooperative-board supersession
 C. The text applies the Banking Regulation Act and substitutes one year for six months for a non-MSCS banking society, but that State-field command no longer directly binds after Rajendra N. Shah
 D. A multi-State cooperative bank can never be superseded

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Every cooperative bank always has a one-year constitutional supersession ceiling' changes the controlling category, condition or legal source. Article 243ZL text adds banking law and a one-year substitution only for a banking cooperative other than an MSCS; the judgment's State-field invalidity must then be stated.
- **B:** Incorrect. The proposition 'Banking law is irrelevant to cooperative-board supersession' changes the controlling category, condition or legal source. Article 243ZL text adds banking law and a one-year substitution only for a banking cooperative other than an MSCS; the judgment's State-field invalidity must then be stated.
- **C:** Correct. Article 243ZL text adds banking law and a one-year substitution only for a banking cooperative other than an MSCS; the judgment's State-field invalidity must then be stated.
- **D:** Incorrect. The proposition 'A multi-State cooperative bank can never be superseded' changes the controlling category, condition or legal source. Article 243ZL text adds banking law and a one-year substitution only for a banking cooperative other than an MSCS; the judgment's State-field invalidity must then be stated.

Examiner trap 19: Do not quote the one-year proviso without its 'other than a multi-State cooperative society' and post-2021 qualifications.

MCQ 20. Audit

Article 243ZM requires, among other things:

- A. Quarterly CAG audit of every society
 B. Audit only on a Registrar's special order
 C. Appointment of every auditor by the RBI
 D. Annual audit completed within six months, by a qualified auditor chosen by the general body from an approved panel

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Quarterly CAG audit of every society' changes the controlling category, condition or legal source. Article 243ZM combines annual audit, legislated qualifications, general-body appointment from an approved panel, six-month completion and legislative laying of apex-society reports.
- **B:** Incorrect. The proposition 'Audit only on a Registrar's special order' changes the controlling category, condition or legal source. Article 243ZM combines annual audit, legislated qualifications, general-body appointment from an approved panel, six-month completion and legislative laying of apex-society reports.
- **C:** Incorrect. The proposition 'Appointment of every auditor by the RBI' changes the controlling category, condition or legal source. Article 243ZM combines annual audit, legislated qualifications, general-body appointment from an

approved panel, six-month completion and legislative laying of apex-society reports.

- **D:** Correct. Article 243ZM combines annual audit, legislated qualifications, general-body appointment from an approved panel, six-month completion and legislative laying of apex-society reports.

Examiner trap 20: Separate the annual frequency, appointment method and six-month completion deadline.

MCQ 21. General body

Article 243ZN contemplates the annual general body meeting:

A. Within six months of the close of the financial year B. Once in every five-year board term C. Only after audit objections are resolved D. At a date fixed by the Election Commission of India

Answer: A.

Option-specific explanations:

- **A:** Correct. Article 243ZN permits law requiring every society's annual general body meeting within six months of financial-year close.
- **B:** Incorrect. The proposition 'Once in every five-year board term' changes the controlling category, condition or legal source. Article 243ZN permits law requiring every society's annual general body meeting within six months of financial-year close.
- **C:** Incorrect. The proposition 'Only after audit objections are resolved' changes the controlling category, condition or legal source. Article 243ZN permits law requiring every society's annual general body meeting within six months of financial-year close.
- **D:** Incorrect. The proposition 'At a date fixed by the Election Commission of India' changes the controlling category, condition or legal source. Article 243ZN permits law requiring every society's annual general body meeting within six months of financial-year close.

Examiner trap 21: Do not merge the AGM clock with the board-election clock.

MCQ 22. Member information

Article 243ZO covers:

A. Public access to every document without restriction B. Member access concerning regular transactions, participation requirements and cooperative education/training C. Only an appeal to the Central Registrar D. Criminal penalties for false returns

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Public access to every document without restriction' changes the controlling category, condition or legal source. Article 243ZO has three limbs: member access to specified books/information/accounts, participation requirements, and cooperative education and training.
- **B:** Correct. Article 243ZO has three limbs: member access to specified books/information/accounts, participation requirements, and cooperative education and training.
- **C:** Incorrect. The proposition 'Only an appeal to the Central Registrar' changes the controlling category, condition or legal source. Article 243ZO has three limbs: member access to specified books/information/accounts, participation requirements, and cooperative education and training.
- **D:** Incorrect. The proposition 'Criminal penalties for false returns' changes the controlling category, condition or legal source. Article 243ZO has three limbs: member access to specified books/information/accounts, participation requirements, and cooperative education and training.

Examiner trap 22: It is a member-governance article, not a universal RTI clause.

MCQ 23. Returns

Which item is included in the Article 243ZP return?

A. Only the auditor's appointment letter B. Only the board's political affiliations C. Annual activities, audited accounts, surplus plan, bye-law amendments and meeting/election declaration D. A five-year development plan only

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Only the auditor's appointment letter' changes the controlling category, condition or legal source. Article 243ZP requires six-month returns covering activities, audited accounts, surplus disposal, bye-law changes, general meeting/election status and other Registrar-required information.
- **B:** Incorrect. The proposition 'Only the board's political affiliations' changes the controlling category, condition or legal source. Article 243ZP requires six-month returns covering activities, audited accounts, surplus disposal, bye-law changes, general meeting/election status and other Registrar-required information.
- **C:** Correct. Article 243ZP requires six-month returns covering activities, audited accounts, surplus disposal, bye-law changes, general meeting/election status and other Registrar-required information.
- **D:** Incorrect. The proposition 'A five-year development plan only' changes the controlling category, condition or legal source. Article 243ZP requires six-month returns covering activities, audited accounts, surplus disposal, bye-law changes, general meeting/election status and other Registrar-required information.

Examiner trap 23: Remember the return is a bundle of governance disclosures, not merely audited accounts.

MCQ 24. Article 243ZQ

Which is one of the offence families that law must include under Article 243ZQ?

A. Refusal to accept a government loan B. Failure to adopt a model bye-law C. A member's criticism of dividend policy D. Wilful false information, disobedience of lawful process, non-remittance of deductions, failure to hand over records or electoral corrupt practice

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Refusal to accept a government loan' changes the controlling category, condition or legal source. Article 243ZQ identifies five governance-related act/omission families that the relevant law must treat as offences.
- **B:** Incorrect. The proposition 'Failure to adopt a model bye-law' changes the controlling category, condition or legal source. Article 243ZQ identifies five governance-related act/omission families that the relevant law must treat as offences.
- **C:** Incorrect. The proposition 'A member's criticism of dividend policy' changes the controlling category, condition or legal source. Article 243ZQ identifies five governance-related act/omission families that the relevant law must treat as offences.
- **D:** Correct. Article 243ZQ identifies five governance-related act/omission families that the relevant law must treat as offences.

Examiner trap 24: Do not invent policy disagreement as a constitutional offence.

MCQ 25. State versus MSCS remedial

A society confined to one State is ordinarily incorporated and regulated by:

A. The applicable State cooperative law and State Registrar B. The Central Registrar under the MSCS Act C. RBI alone, even if it does no banking D. The Ministry of Cooperation through an executive order

Answer: A.

Option-specific explanations:

- **A:** Correct. Entry 32 places the ordinary intra-State cooperative within State legislation and the State Registrar architecture.

- **B:** Incorrect. The proposition 'The Central Registrar under the MSCS Act' changes the controlling category, condition or legal source. Entry 32 places the ordinary intra-State cooperative within State legislation and the State Registrar architecture.
- **C:** Incorrect. The proposition 'RBI alone, even if it does no banking' changes the controlling category, condition or legal source. Entry 32 places the ordinary intra-State cooperative within State legislation and the State Registrar architecture.
- **D:** Incorrect. The proposition 'The Ministry of Cooperation through an executive order' changes the controlling category, condition or legal source. Entry 32 places the ordinary intra-State cooperative within State legislation and the State Registrar architecture.

Examiner trap 25: Territorial objects and statutory registration, not national policy support, identify the registrar.

MCQ 26. MSCS elections remedial

The Co-operative Election Authority created by the 2023 amendment:

- A. Conducts elections for every cooperative in India B. Conducts and controls elections of multi-State cooperative societies under the central Act C. Is a wing of the Election Commission of India D. Replaces State Registrars under Entry 32

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Conducts elections for every cooperative in India' changes the controlling category, condition or legal source. The Authority is an MSCS statutory institution with a Chairperson, Vice-Chairperson and not more than three Members; its jurisdiction follows the central Act.
- **B:** Correct. The Authority is an MSCS statutory institution with a Chairperson, Vice-Chairperson and not more than three Members; its jurisdiction follows the central Act.
- **C:** Incorrect. The proposition 'Is a wing of the Election Commission of India' changes the controlling category, condition or legal source. The Authority is an MSCS statutory institution with a Chairperson, Vice-Chairperson and not more than three Members; its jurisdiction follows the central Act.
- **D:** Incorrect. The proposition 'Replaces State Registrars under Entry 32' changes the controlling category, condition or legal source. The Authority is an MSCS statutory institution with a Chairperson, Vice-Chairperson and not more than three Members; its jurisdiction follows the central Act.

Examiner trap 26: Do not transfer an MSCS institution to State societies.

MCQ 27. 2023 member remedies remedial

Which pairing is correct under the amended MSCS Act?

- A. Ombudsman-criminal conviction; Information Officer-banking licence B. Ombudsman-State legislative audit; Information Officer-public election roll C. Ombudsman-specified member grievances; Information Officer-member information requests D. Ombudsman-constitutional court; Information Officer-RBI inspector

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Ombudsman-criminal conviction; Information Officer-banking licence' changes the controlling category, condition or legal source. Section 85A creates a member-centred grievance mechanism, while section 106 requires an Information Officer to provide or reasonably reject member information within the statutory period.
- **B:** Incorrect. The proposition 'Ombudsman-State legislative audit; Information Officer-public election roll' changes the controlling category, condition or legal source. Section 85A creates a member-centred grievance mechanism, while section 106 requires an Information Officer to provide or reasonably reject member information within the statutory period.
- **C:** Correct. Section 85A creates a member-centred grievance mechanism, while section 106 requires an Information Officer to provide or reasonably reject member information within the statutory period.

- **D:** Incorrect. The proposition 'Ombudsman-constitutional court; Information Officer-RBI inspector' changes the controlling category, condition or legal source. Section 85A creates a member-centred grievance mechanism, while section 106 requires an Information Officer to provide or reasonably reject member information within the statutory period.

Examiner trap 27: These are statutory MSCS remedies, not courts, regulators or universal RTI offices.

MCQ 28. Registrar architecture remedial

Which institutional statement is correct?

- A. The Ministry of Cooperation is the Registrar for all State societies B. The Central Registrar regulates all PACS C. RBI incorporates every non-banking cooperative D. State Registrars administer State-law societies, while the Central Registrar administers the MSCS Act

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'The Ministry of Cooperation is the Registrar for all State societies' changes the controlling category, condition or legal source. The two registrar systems follow Entries 32 and 44; banking regulation may overlay but does not replace incorporation authority.
- **B:** Incorrect. The proposition 'The Central Registrar regulates all PACS' changes the controlling category, condition or legal source. The two registrar systems follow Entries 32 and 44; banking regulation may overlay but does not replace incorporation authority.
- **C:** Incorrect. The proposition 'RBI incorporates every non-banking cooperative' changes the controlling category, condition or legal source. The two registrar systems follow Entries 32 and 44; banking regulation may overlay but does not replace incorporation authority.
- **D:** Correct. The two registrar systems follow Entries 32 and 44; banking regulation may overlay but does not replace incorporation authority.

Examiner trap 28: Separate Ministry policy, registrar administration and RBI prudential functions.

MCQ 29. Cooperative bank remedial

An Urban Cooperative Bank is best described as:

- A. A cooperative entity under the applicable cooperative law with RBI banking regulation and supervision B. A municipal department supervised only by a State board C. A PACS automatically exempt from banking law D. A company with no cooperative-law identity

Answer: A.

Option-specific explanations:

- **A:** Correct. A UCB retains its cooperative incorporation and membership framework while the Banking Regulation Act and RBI govern its banking functions.
- **B:** Incorrect. The proposition 'A municipal department supervised only by a State board' changes the controlling category, condition or legal source. A UCB retains its cooperative incorporation and membership framework while the Banking Regulation Act and RBI govern its banking functions.
- **C:** Incorrect. The proposition 'A PACS automatically exempt from banking law' changes the controlling category, condition or legal source. A UCB retains its cooperative incorporation and membership framework while the Banking Regulation Act and RBI govern its banking functions.
- **D:** Incorrect. The proposition 'A company with no cooperative-law identity' changes the controlling category, condition or legal source. A UCB retains its cooperative incorporation and membership framework while the Banking Regulation Act and RBI govern its banking functions.

Examiner trap 29: Dual regulation means divided functions, not absence of regulation.

MCQ 30. PACS boundary remedial

Which statement about PACS is most accurate?

- A. Every PACS is an RBI-licensed bank with DICGC cover B. PACS principally operate under State cooperative law and are not automatically authorised to conduct public banking business C. NABARD regulates PACS identically to DCCBs under section 35(6) D. PACS fall under Union List Entry 44 merely because they obtain refinance

Answer: B.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Every PACS is an RBI-licensed bank with DICGC cover' changes the controlling category, condition or legal source. PACS are primary cooperative credit societies under State law; they are outside the ordinary licensed cooperative-bank category unless the governing banking law specifically brings an entity within it.
- **B:** Correct. PACS are primary cooperative credit societies under State law; they are outside the ordinary licensed cooperative-bank category unless the governing banking law specifically brings an entity within it.
- **C:** Incorrect. The proposition 'NABARD regulates PACS identically to DCCBs under section 35(6)' changes the controlling category, condition or legal source. PACS are primary cooperative credit societies under State law; they are outside the ordinary licensed cooperative-bank category unless the governing banking law specifically brings an entity within it.
- **D:** Incorrect. The proposition 'PACS fall under Union List Entry 44 merely because they obtain refinance' changes the controlling category, condition or legal source. PACS are primary cooperative credit societies under State law; they are outside the ordinary licensed cooperative-bank category unless the governing banking law specifically brings an entity within it.

Examiner trap 30: Do not equate local agricultural credit activity with an RBI banking licence.

MCQ 31. Democratic-control remedial

Which reform most directly addresses elite capture without displacing cooperative identity?

- A. Permanent supersession by government B. Voting power determined solely by outside capital C. Clean member rolls, timely elections, conflict disclosure and usable member information D. Abolition of general body meetings

Answer: C.

Option-specific explanations:

- **A:** Incorrect. The proposition 'Permanent supersession by government' changes the controlling category, condition or legal source. Member-roll integrity, regular elections, conflict controls and information strengthen democratic member control while preserving the member-owned form.
- **B:** Incorrect. The proposition 'Voting power determined solely by outside capital' changes the controlling category, condition or legal source. Member-roll integrity, regular elections, conflict controls and information strengthen democratic member control while preserving the member-owned form.
- **C:** Correct. Member-roll integrity, regular elections, conflict controls and information strengthen democratic member control while preserving the member-owned form.
- **D:** Incorrect. The proposition 'Abolition of general body meetings' changes the controlling category, condition or legal source. Member-roll integrity, regular elections, conflict controls and information strengthen democratic member control while preserving the member-owned form.

Examiner trap 31: Professionalisation should supplement, not replace, member sovereignty.

MCQ 32. Autonomy-accountability remedial

Which formulation best balances cooperative autonomy and accountability?

- A. No prudential regulation because members bear all risk B. Uniform central command over every State society C. Government nomination of every board member D. Member-led governance with professional management, proportionate audit, timely elections and function-wise regulatory coordination

Answer: D.

Option-specific explanations:

- **A:** Incorrect. The proposition 'No prudential regulation because members bear all risk' changes the controlling category, condition or legal source. Article 43B's values are best realised when autonomy, democracy, professionalism and accountability operate together under the constitutionally competent legal regime.
- **B:** Incorrect. The proposition 'Uniform central command over every State society' changes the controlling category, condition or legal source. Article 43B's values are best realised when autonomy, democracy, professionalism and accountability operate together under the constitutionally competent legal regime.
- **C:** Incorrect. The proposition 'Government nomination of every board member' changes the controlling category, condition or legal source. Article 43B's values are best realised when autonomy, democracy, professionalism and accountability operate together under the constitutionally competent legal regime.
- **D:** Correct. Article 43B's values are best realised when autonomy, democracy, professionalism and accountability operate together under the constitutionally competent legal regime.

Examiner trap 32: Neither maximal State control nor complete deregulation is a cooperative reform.

PYQS AND ANSWER PRACTICE

Verified PYQ routing

No direct standalone Polity PYQ on the 97th Amendment, Part IXB or *Rajendra N. Shah* was verified. The following questions are retained only because they directly test cooperative-banking or collective-operation interfaces. Wording was checked against the released papers; option letters below follow the UPSC final keys. They are not relabelled as direct Polity PYQs.

PYQ 1 - UPSC Prelims 2020 GS-I, Q59

Consider the following statements: 1. In terms of short-term credit delivery to the agriculture sector, District Central Cooperative Banks (DCCBs) deliver more credit in comparison to Scheduled Commercial Banks and Regional Rural Banks. 2. One of the most important functions of DCCBs is to provide funds to the Primary Agricultural Credit Societies. Which of the statements given above is/are correct? (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

Official final key: B - 2 only.

Solution: Statement 2 describes the intermediate-tier financing role of DCCBs toward PACS. Statement 1 is an overbroad comparative-credit claim. The question tests the rural cooperative-credit hierarchy, not constitutional status.

PYQ 2 - UPSC Prelims 2021 GS-I, Q5

With reference to "Urban Cooperative Banks" in India, consider the following statements: 1. They are supervised and regulated by local boards set up by the State Governments. 2. They can issue equity shares and preference shares. 3. They were brought under the purview of the Banking Regulation Act, 1949 through an Amendment in 1966. Which of the statements given above is/are correct? (a) 1 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Official final key: B - 2 and 3 only.

Solution: Statement 1 is false because banking regulation and supervision are not vested in State-created local boards. Statements 2 and 3 reflect the capital framework and the 1966 extension of the Banking Regulation Act to cooperative banks. The elimination turns on separating cooperative registration from RBI banking oversight.

PYQ 3 - UPSC Prelims 2023 GS-I, Q26

Which one of the following best describes the concept of "Small Farmer Large Field"? (a) Resettlement of war-displaced people on a large collectively cultivated field (b) Many marginal farmers in an area organise themselves into groups and synchronise and harmonise selected agricultural operations (c) Marginal farmers surrender land to a corporate body for a fixed term and payment (d) A company supplies loans, knowledge and inputs so farmers produce its required commodity

Official final key: B.

Solution: The concept coordinates selected operations across separately held small farms to gain scale. It neither transfers ownership to a corporate body nor describes contract farming or refugee resettlement. Its relevance here is the cooperative logic of operational pooling.

Original solved Mains practice - exactly six models

Mains 1 - 10 marks | 150 words

Explain the present constitutional position of cooperative societies after Union of India v. Rajendra N. Shah (2021).

Model solution

The 97th Amendment created three constitutional effects. It added cooperative societies to **Article 19(1)(c)**, protecting citizens' freedom to form them subject to Article 19(4). **Article 43B** directs the State to promote voluntary formation, autonomy, democratic control and professional management. Both survive.

Third, it inserted **Part IXB**. In **Union of India v. Rajendra N. Shah (2021)**, the Supreme Court held that detailed governance commands affecting the State field under **Entry 32** required ratification by at least half the States under Article 368(2). That ratification was absent. The majority therefore invalidated Part IXB only insofar as it applied to State cooperative societies, while severing and saving its operation for **multi-State cooperative societies under Entry 44** through Article 243ZR.

Thus, State societies remain governed by State law, while the formation right, DPSP and multi-State framework continue. The judgment corrected federal overreach; it did not strike down the whole Amendment.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.

Mains 2 - 10 marks | 150 words

Distinguish State cooperative societies from multi-State cooperative societies in incorporation, regulation, elections and audit.

Model solution

The distinction turns on territorial objects and competence, not merely on where members reside.

State societies: Under **State List Entry 32**, a society whose objects are confined to one State is incorporated, regulated and wound up under the State Act. The State Registrar and State election and audit machinery apply. After **Rajendra N. Shah***, Part IXB does not directly bind this field, though Articles 19(1)(c), 43B and judicial review remain.

Multi-State societies: Under **Union List Entry 44**, a society whose objects are not confined to one State is registered and regulated under the **MSCS Act, 2002**, by the Central Registrar. Part IXB survives through Article 243ZR. The 2023 amendment adds the Co-operative Election Authority, member Ombudsman, Information Officer and strengthened audit/governance controls.

If either category conducts banking, **Entry 45**, banking law and RBI oversight may overlay incorporation. Cooperative law determines identity; sectoral law regulates specialised activity.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.

Mains 3 - 15 marks | 250 words

Critically examine the 97th Constitutional Amendment and the Rajendra N. Shah judgment as an illustration of cooperative federalism.

Model solution

The 97th Amendment sought to cure politicised elections, weak audit and excessive State control by giving cooperatives a national constitutional framework. It added a formation freedom in **Article 19(1)(c)**, the four-fold policy directive in **Article 43B**, and the governance code in **Part IXB**.

The federal difficulty lay in method. **Entry 32, State List** assigns incorporation, regulation and winding up of ordinary cooperative societies to States. Part IXB prescribed board composition, elections, supersession, audit, meetings, returns and offences, thereby substantially conditioning State legislative choice even though Entry 32's wording remained unchanged.

In **Union of India v. Rajendra N. Shah (2021)**, the majority held that such alteration attracted the proviso to **Article 368(2)** and required ratification by at least half the State Legislatures. Because ratification was absent, Part IXB could not operate in the State field. Yet **Article 243ZR** made the multi-State scheme severable: societies with objects not confined to one State fall under **Entry 44, Union List**, so Part IXB survived for them. Articles 19(1)(c) and 43B also remained untouched.

The judgment protects States from indirect constitutional centralisation while preserving Parliament's legitimate multi-State field. However, divergent State standards may continue, and the dissent questioned whether the Part was sufficiently separable.

The correct reform route is therefore cooperative federalism: States legislate and implement robust member-centred standards; Parliament regulates MSCS and banking within its fields; national policy supplies coordination, capacity and incentives without substituting competence.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.

Mains 4 - 15 marks | 250 words

Assess whether the Multi-State Co-operative Societies (Amendment) Act, 2023 balances democratic autonomy with governance accountability.

Model solution

The 2023 amendment addresses recurring MSCS failures through specialised institutions rather than relying only on discretionary Registrar control.

Democratic accountability: The **Co-operative Election Authority** supervises electoral rolls and conducts board elections. Secret ballot and advance notice before term expiry target delayed or manipulated elections. This supports member sovereignty, although appointment transparency and reasoned procedures remain important.

Board integrity: The amended Act retains the twenty-one-director ceiling and qualified representation, while conflict-of-interest and relative-recruitment restrictions address insider control. Professional expertise should supplement, not replace, elected authority.

Financial discipline: Annual statutory audit continues; section 70A permits concurrent audit for government-notified large societies. The rehabilitation, reconstruction and development fund creates a contribution-based response to sickness, with RBI approval where a multi-State cooperative bank is involved. Audit filing alone, however, cannot guarantee timely corrective action.

Member remedies: Section 85A establishes a **Co-operative Ombudsman** for specified member complaints, and section 106 requires a **Co-operative Information Officer**. These reduce information asymmetry and internal power imbalance, subject to fair hearing and workable appeal.

The amendment therefore strengthens elections, disclosure, grievance redress and resilience within the constitutionally valid **Entry 44** field. Its balance will depend on implementation that is proportionate, digitally inclusive and coordinated with RBI and other sectoral regulators. It is a statutory governance reform for MSCS, not a transfer of Entry 32 competence or a substitute for democratic participation.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.

Mains 5 - 20 marks | 250 words

Analyse the regulatory architecture of cooperative banks and the tensions between member control and depositor protection.

Model solution

A cooperative bank combines two legal identities. Its cooperative personality is created under a State cooperative law or, where objects cross State boundaries, the **MSCS Act**. Its deposit-taking and banking business falls under **Union List Entry 45**, the Banking Regulation Act and RBI supervision.

The **Registrar** therefore handles incorporation, membership, bye-laws, elections and specified management matters within the applicable cooperative statute. **RBI** controls licensing, prudential norms, capital, management-related safeguards, audit and reconstruction powers under banking law. The 2020 amendment strengthened this prudential role for covered cooperative banks. **NABARD** inspects and supervises State Cooperative Banks and District Central Cooperative Banks under its statutory mandate and supports rural credit development. **PACS** remain principally State-law credit societies and are not automatically RBI-licensed banks or DICGC-insured deposit institutions.

This overlap is justified because democratic member control cannot replace depositor protection, asset-quality review or connected-lending discipline. Conversely, prudential intervention should not erase lawful member participation. Problems arise when fragmented supervision diffuses accountability, political influence distorts credit, boards lack expertise, or corrective action is delayed.

Reform should allocate lead responsibility by function, share supervisory data, strengthen fit-and-proper and conflict rules, ensure independent risk-based audit, and protect timely member elections and information. A dairy or housing society should not be regulated like a bank; a deposit-taking cooperative should not invoke autonomy against prudential law.

The goal is coordinated multiple regulation: member-led ownership with professional governance and non-negotiable depositor protection.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.

Mains 6 - 20 marks | 250 words

Cooperatives can deepen inclusive development, yet democratic ownership does not automatically produce democratic outcomes. Discuss and suggest reforms.

Model solution

Cooperatives can aggregate small producers, borrowers, consumers or residents who individually lack scale. **PACS** illustrate local credit organisation; dairy cooperatives show pooling, processing and marketing; housing societies organise common property and services. These examples explain forms, not universal performance.

The development mechanism is clear: joint purchase or sale lowers transaction costs, collective bargaining improves market access, and member ownership can retain value locally. **Article 19(1)(c)** protects formation, while **Article 43B** links autonomy to democratic control and professional management.

However, formal membership may conceal unequal power. Passive members permit elite capture; political interference and delayed elections entrench boards; weak audit hides related-party decisions; thin capital and poor

management reduce viability. In cooperative banks, member pressure can conflict with depositor protection and prudential discipline. State support may then produce dependence rather than autonomy.

Reform must repair each causal failure:

1. verify membership and voter rolls, and hold timely independent elections;
2. professionalise boards and executives without displacing elected member control;
3. require conflict disclosure, usable accounts and risk-based audit;
4. provide member information, education and credible grievance redress;
5. coordinate Registrar, RBI and NABARD responsibilities by function;
6. use secure digital systems with offline access and cybersecurity safeguards; and
7. evaluate member use, service quality and financial resilience rather than registration totals.

Because ordinary societies remain under **Entry 32** after **Rajendra N. Shah***, national reform must respect State competence. Cooperatives succeed when autonomy, active participation, professional capacity and proportionate accountability reinforce one another.

Why this earns marks: The answer directly follows the directive, links each claim to named constitutional, statutory or judicial evidence, explains what the evidence proves and closes with a qualification rather than a slogan.

Better-answer check: Preserve the legal field distinction, avoid unsupported current numbers, and use one compact diagram or comparison only where it advances the demand.